companies like Reliance, would never have been able to raise the necessary capital for expansion. The tempting chance of a huge gain is the grease that lubricates the machinery of innovation. Secondly, the risk is exchanged every time the stock is sold and bought, but it is never eliminated. When the buyer buys a stock he takes the primary risk that the stock will go down. However, the seller still retains the residual risk of the chance that the stock he sold may go up.

However, speculating can go wrong[4] if people:

- do not understand the difference between investing and speculating,
- speculate without the right knowledge and skill,
- speculate beyond their capacity to take a loss (that is called margin trading).

The greatest problem today is that most investors are acquiring speculative habits believing that they are investing. The attraction of quick money and the advent of the futures market have lured them to margin trading. For a number of people, this has become a full-time occupation due to the advent of the Internet and online trading. This could be bad news especially when they are dealing with their life savings.

Risk-Reward Balance

The important thing to remember is that investing is all about risk and reward. The higher the risk the greater the reward, and vice versa. The investor needs to select the right balance when choosing an investment vehicle and the strategy. During the IT sector boom, the stock prices of IT companies were going up by leaps and bounds and people were buying such stocks at any price thinking that the price would go up. There was no rationality as to the value and the price. People were thus only buying risk. There was no effort to balance the risk reward ratio. We all know the fate of various IT investors when the markets crashed.